'OUR GOAL IS TO CREATE A MORE AGILE, CUSTOMER-CENTRIC BANK', SAYS TMB BANK MD

Tamilnad Mercantile Bank (TMB) stands at the confluence of over a century-old legacy and modern momentum.



Founded in 1921 in Thoothukudi, the bank has grown from a regional lender to a professionally managed, publicly listed institution that combines community roots with disciplined financial management.

Over the past 12 months the Bank has taken up various transformation journey under the leadership of Mr Salee S. Nair, who took over as the Managing Director & CEO of the Bank in August 2024.

"At TMB, we are committed to accelerate the growth through collaboration, excellent customer service, compliance and risk management. We also aim to scale our banking system and optimize our capital allocation through careful compliance with regulatory frameworks by embarking on digital transformation. Our goal is to create a more agile, customer-centric bank, enhancing services while safeguarding financial stability," said Mr Nair.

The transformation journey includes digital transformation, recalibrating business models in the branches including upskilling, opening up regional level Credit Management Centre's (CMC) for advances and especially MSME, focussing on gold loan and expansion beyond Tamil Nadu. More importantly hiring people in the respective states to lead the operations.

Digital lead the table in this transformation. The Bank is set to complete its digital transformation programme commenced last year in a phased manner within the financial year.

Last year, the Bank had earmarked Rs 150 crore to implement a range of technology-driven upgrades. These include development of Oracle Human Capital Management (HCM) software, Oracle CX-Customer Relationship Management (CRM) software, Vendor Management System (VMS) for centralised expense management, and paperless automation of approvals through Business Process Management (BPM).

"A sophisticated net banking platform (DEH) has been designed to enhance digital banking experiences for both retail and corporate clients. Ongoing projects such as website and mobile banking revamps are almost in the competition stage," said Mr Nair.

In the most recent financial cycle, TMB has demonstrated measurable progress on growth and profitability. The bank posted its highest-ever quarterly net profit in Q1 FY26, supported by rising retail and Jewel Loans, improved asset quality and disciplined provisioning.

"At TMB, we are committed to accelerate the growth through collaboration, excellent customer service, compliance and risk management. We also aim to scale our banking system and optimize our capital allocation through careful compliance with regulatory frameworks by embarking on digital transformation. Our goal is to create a more agile, customer-centric bank, enhancing services while safeguarding financial stability."

Special focus on CASA & Retails Deposits through following strategies:

- Formation of Transaction Banking Group (TBG), Global NRI Centre (GNC) and Elite Service Group (ESG) for CASA segmental approach.
- Introduced CBDT,GST, Payment Facility.
- Tied up with Bajaj Broking for providing 3 in 1 Account.
- Formation of CMC to handle entire life cycle of Advances other than Jewel Loans, making the branch liability focused.
- TMB is now authorised to collect Customs Duty Payments through Net Banking facility.

Special Focus on NIM through following strategies:

- Bank is focusing on NIM by strengthening the CASA base and targeting current accounts through Dedicated Relationship Managers.
- A new transaction business unit and Digital On boarding of new customers are boosting CASA growth, with a recent rise of 34 basis points quarter on quarter.
- Nearly 200 Data Entry Operators have been onboarded to free up staff for referrals and cross selling especially targeting savings accounts.
- Elite Services Group has also been launched, aiming to retain and grow deposits from existing customers, particularly in the Savings Bank segment.

MSMEs are a strategic priority

The bank has intensified tailored credit solutions, working-capital facilities, term loans and transaction-banking services, to support small and medium enterprises that form the backbone of regional economies.

To strengthen the MSME portfolio, the bank has hired a global consultant, reinforcing its commitment to boost the sector with innovative solutions and improved lending capabilities.

The establishment of 12 Credit Management Centres (CMC's), beginning with a pilot in Thoothukudi, is another strategic move to ensure faster loan disbursals and more effective risk management, he added.

TMB is also leveraging Artificial Intelligence (AI) and Machine Learning (ML) to streamline loan processing for MSMEs.

As far as Branch expansion concerned, TMB plans to add 50 new branches to its existing 588 branches. The Bank will also hire people locally across all states to lead the operations.

The gold-loan business is being scaled as a high-yield retail vertical through simplified on-boarding, focused marketing and calibrated pricing, an area where the Bank Management has highlighted for strong growth in FY26.

Looking ahead, TMB aspires to sustain healthy, double-digit credit growth, raise low-cost CASA, diversify fee income and maintain disciplined asset quality. Central to that ambition is a people-first agenda: the bank aims to cultivate an agile, digitally fluent workforce through targeted reskilling, leadership programmes and a culture of customer-centric innovation. Over the long term, TMB's vision is to honour its 104-year heritage while becoming a future-ready, scalable bank that prioritises sustainable finance, deepens community engagement and partners with fintechs to drive financial inclusion, creating meaningful career opportunities for employees and value for shareholders.